



Date: 07/25/2024

Attn: Rob Bowen
78 Brookside Ave, Ste 132B
Chester, NY 10918

Named Insured: Verity Oakden

Effective Date: 07/24/2024 to 07/24/2025

Policy Number: 24SSJ231PF3452

Please find enclosed electronic policy set for:

6 Cottage Lane
North Salem, NY 10560

If after reviewing you find corrections are necessary, please bring those to my attention. Thank you for the opportunity to service your client.

In the event of a claim, please notify me at the following:

Sterling Surplus Underwriters

PO Box 176
Madison, MS 39130

em: info@sterlingsu.com

fx: 888-645-1716

<https://backoffice.sterlingsu.com/submitclaim>

Sincerely,

C. Brad Moncrief
Principal/Broker



LLOYD'S

Insurance effected through:
Sterling Surplus Underwriters
PO Box 176
Madison, MS 39130

This is to Certify that in accordance with the authorisation granted under the Contract (the unique market reference number of which is specified in the Declaration) to the undersigned by certain Underwriters at Lloyd's, whose names and the proportions underwritten by them, which will be supplied on application, can be ascertained by reference to the said Contract which bears the Seal of Lloyd's Policy Signing Office, and in consideration of the premium specified herein, the said Underwriters are hereby bound, each for his own part and not one for another, their Heirs, Executors and Administrators, to insure in accordance with the terms and conditions contained herein or endorsed hereon.

Notwithstanding anything to the contrary contained herein this Certificate does not cover Loss, Damage or Liability directly or indirectly occasioned by, happening through or in consequence of war, invasion, acts of foreign enemies, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection, military or usurped power or confiscation or nationalisation or requisition or destruction of or damage to property by or under the order of any government or public or local authority.

The subscribing Insurers' obligations under Contracts of Insurance to which they subscribe are several and not joint and are limited solely to the extent of their individual subscriptions. The subscribing Insurers are not responsible for the subscription of any co-subscribing Insurer who for any reason does not satisfy all or part of its obligations.

If the Assured shall make any claim knowing the same to be false or fraudulent, as regards amount or otherwise, this Certificate shall become void and all claim hereunder shall be forfeited.

In Witness whereof this Certificate has been signed at the place stated and on the date specified in the Declarations by: Sterling Surplus Underwriters.

Sterling Surplus Underwriters.

Authorized Official

Please examine this Document carefully. If it does not meet your needs, return immediately. In all communications the Number appearing in line one of the Schedule should be quoted. In the event of loss or expense under this Insurance, immediate notice should be given to:

CERTIFICATE PROVISIONS

- 1. Signature Required.** This Certificate shall not be valid unless signed by the Correspondent on the attached Declaration Page.
- 2. Correspondent Not Insurer.** The Correspondent is not an Insurer hereunder and neither is nor shall be liable for any loss or claim whatsoever. The Insurers hereunder are those Underwriters at Lloyd's, London whose syndicate numbers can be ascertained as hereinbefore set forth. As used in this Certificate "Underwriters" shall be deemed to include incorporated as well as unincorporated persons or entities that are Underwriters at Lloyd's, London.
- 3. Cancellation.** If this Certificate provides for cancellation and this Certificate is cancelled after the inception date, earned premium must be paid for the time the insurance has been in force.
- 4. Service of Suit.** It is agreed that in the event of the failure of Underwriters to pay any amount claimed to be due hereunder, Underwriters, at the request of the Assured, will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of Underwriters' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States. It is further agreed that service of process in such suit may be made upon the firm or person named in item 6 of the attached Declaration Page, and that in any suit instituted against any one of them upon this contract, Underwriters will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

The above-named are authorized and directed to accept service of process on behalf of Underwriters in any such suit and/or upon request of the Assured to give a written undertaking to the Assured that they will enter a general appearance upon Underwriters' behalf in the event such a suit shall be instituted. Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, Underwriters hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Assured or any beneficiary hereunder arising out of this contract of insurance, and hereby designate the above-mentioned as the person to whom the said officer is authorized to mail such process or a true copy thereof.

- 5. Assignment.** This Certificate shall not be assigned either in whole or in part without the written consent of the Correspondent endorsed hereon.
- 6. Attached Conditions Incorporated.** This Certificate is made and accepted subject to all the provisions, conditions and warranties set forth herein, attached or endorsed, all of which are to be considered as incorporated herein.
- 7. Short Rate Cancellation.** If the attached provisions provide for cancellation, the table below will be used to calculate the short rate proportion of the premium when applicable under the terms of cancellation.

Short Rate Cancellation Table for Term of One Year.

Days Insurance in Force	Percent of one year Premium	Days Insurance in Force	Percent of one year Premium	Days Insurance in Force	Percent of one year Premium	Days Insurance in Force	Percent of one year Premium
1	5%	66-69	29%	154-156	53%	256-260	77%
2	6%	70-73	30%	157-160	54%	261-264	78%
3-4	7%	74-76	31%	161-164	55%	265-269	79%
5-6	8%	77-80	32%	165-167	56%	270-273	80%
7-8	9%	81-83	33%	168-171	57%	274-278	81%
9-10	10%	84-87	34%	172-175	58%	279-282	82%
11-12	11%	88-91	35%	176-178	59%	283-287	83%
13-14	12%	92-94	36%	179-182	60%	288-291	84%
15-16	13%	95-98	37%	183-187	61%	292-296	85%
17-18	14%	99-102	38%	188-191	62%	297-301	86%
19-20	15%	103-105	39%	192-196	63%	302-305	87%
21-22	16%	106-109	40%	197-200	64%	306-310	88%
23-25	17%	110-113	41%	201-205	65%	311-314	89%
26-29	18%	114-116	42%	206-209	66%	315-319	90%
30-32	19%	117-120	43%	210-214	67%	320-323	91%
33-36	20%	121-124	44%	215-218	68%	324-328	92%
37-40	21%	125-127	45%	219-223	69%	329-332	93%
41-43	22%	128-131	46%	224-228	70%	333-337	94%
44-47	23%	132-135	47%	229-232	71%	338-342	95%
48-51	24%	136-138	48%	233-237	72%	343-346	96%
52-54	25%	139-142	49%	238-241	73%	347-351	97%
55-58	26%	143-146	50%	242-246	74%	352-355	98%
59-62	27%	147-149	51%	247-250	75%	356-360	99%
63-65	28%	150-153	52%	251-255	76%	361-365	100%

Rules applicable to insurance with terms less than or more than one year:

- A.** If insurance has been in force for one year or less, apply the short rate table for annual insurance to the full annual premium determined as for insurance written for a term of one year.
- B.** If insurance has been in force for more than one year:
 - 1.** Determine full annual premium as for insurance written for a term of one year.
 - 2.** Deduct such premium from the full insurance premium, and on the remainder calculate the pro rata earned premium on the basis of the ratio of the length of time beyond one year the insurance has been in force to the length of time beyond one year for which the policy was originally written.
 - 3.** Add premium produced in accordance with items (1) and (2) to obtain earned premium during full period insurance has been in force.



Flood Declarations Page

Policy Number: 24SSJ231PF3452	Renewal: No	Make checks payable to: Sterling Surplus Underwriters PO Box 176 Madison, MS 39130 For payment questions call: 855-227-2202
Prior Policy Number: N/A Unique Market Ref: B123024STE1355 Term: 12 months Flood Zone: AE Basement: N Elevator: N		
Policy Period: 07/24/2024 - 07/24/2025 at 12:01am (LST)		Agent Information: Patriotic Insurance Group Brokerage Inc
Insured: Verity Oakden		Agent: Rob Bowen
Mailing Address: 40 Moore Ave, Apt 5T Mount Kisco, NY 10540	Insured Location: 6 Cottage Lane North Salem, NY 10560	Agent ID: AGT7756 Address: 78 Brookside Ave, Ste 132B Chester, NY 10918 Phone: 845-610-5700 Email: agency@patrioticinsurancegroup.com

COVERAGE	LIMIT	DEDUCTIBLE	Premium:	\$402.00
Building	\$119,700	\$5,000	Policy Fee (Fully Earned):	\$35.00
Contents	\$0	---	Surplus Lines Tax:	\$14.47
Other Structures	\$11,970	---	Stamp Fee:	\$0.60
			Total Charges:	\$452.07

25% (\$101) minimum earned premium or minimum earned premium endorsement.

Forms and Endorsements attached hereto and special conditions: SSPF001 | 1230NASR0155EI | Flood Wording | LM19815 | PPRCE | FLEND1 | FLEND2 | OFAC Notice | HO 01 04 07 19 | LSW1135B | NYSID-41C | NYSID-NELP

Notification of Claims:
Sterling Surplus Underwriters
PO Box 176
Madison, MS 39130
claims@sterlingsu.com
[Submit Claim](#)

Service of Suit:
Lloyd's America, Inc.
Attn: Legal Department
280 Park Ave, East Tower,
25th Floor, NY 10017

THIS POLICY MEETS THE DEFINITION OF PRIVATE FLOOD INSURANCE CONTAINED IN 42 U.S.C. 4012A(B)(7) AND THE CORRESPONDING REGULATION. THIS POLICY MEETS THE DEFINITION OF PRIVATE FLOOD INSURANCE CONTAINED IN 24 CFR 203.16A(E) FOR FHA-INSURED MORTGAGES.

THE INSURER(S) NAMED HEREIN IS (ARE) NOT LICENSED BY THE STATE OF NEW YORK, NOT SUBJECT TO ITS SUPERVISION, AND IN THE EVENT OF THE INSOLVENCY OF THE INSURER(S), NOT PROTECTED BY THE NEW YORK STATE SECURITY FUNDS. THE POLICY MAY NOT BE SUBJECT TO ALL OF THE REGULATIONS OF THE DEPARTMENT OF FINANCIAL SERVICES PERTAINING TO POLICY FORMS.

Sterling Surplus Underwriters
P.O. Box 176
Madison, MS 39130
PC License #PC-1299609
ES License #EX-1299609

Date: 07/25/2024
By: C. Brad Moncrief, Principal

Carrier
Lloyd's of London



Agreement We will provide the insurance described in this policy in return for the premium and compliance with all applicable provisions of this policy.

If the National Flood Insurance Program for flood insurance to dwellings provides broader coverage than that provided under this insurance, that broader cover will automatically apply to this policy without additional premium charge.

THIS POLICY MEETS ALL OF THE PROVISIONS REQUIRED BY:

National Flood Insurance Act of 1968, as amended; and
Flood Disaster Protection Act of 1973, as amended; and
Biggert Waters Flood Insurance Reform Act of 2012

The 42 U.S.C 4012a(b)(7) refers to US Code Title 42 National Flood Insurance Program Section 4012a(b)(7) (Flood insurance purchase and compliance requirements).

(7) PRIVATE FLOOD INSURANCE DEFINED. In this subsection, the term 'private flood insurance' means an insurance policy that—

Notwithstanding any provision to the contrary within the Policy or any endorsement thereto, it is understood and agreed as follows:

- A. is issued by an insurance company that is—
 - i. licensed, admitted, or otherwise approved to engage in the business of insurance in the State or jurisdiction in which the insured building is located, by the insurance regulator of that State or jurisdiction; or
 - ii. in the case of a policy of difference in conditions, multiple peril, all risk, or other blanket coverage insuring nonresidential commercial property, is recognized, or not disapproved, as a surplus lines insurer by the insurance regulator of the State or jurisdiction where the property to be insured is located;
- B. provides flood insurance coverage which is at least as broad as the coverage provided under a standard flood insurance policy under the national flood insurance program, including when considering deductibles, exclusions, and conditions offered by the insurer;
- C. includes—
 - i. a requirement for the insurer to give 45 days' written notice of cancellation or non-renewal of flood insurance coverage to—
 - i. the insured; and
 - ii. the regulated lending institution or Federal agency lender;
 - ii. information about the availability of flood insurance coverage under the national flood insurance program;
 - iii. a mortgage interest clause similar to the clause contained in a standard flood insurance policy under the national flood insurance program; and
 - iv. a provision requiring an insured to file suit not later than 1 year after date of a written denial of all or part of a claim under the policy; and
- D. contains cancellation provisions that are as restrictive as the provisions contained in a standard flood insurance policy under the national flood insurance program.



CERTIFICATION OF ADEQUACY OF PRIVATE FLOOD INSURANCE

Client Name: **Verity Oakden**

Risk Address: **6 Cottage Lane**

City,State,Zip: **North Salem, NY 10560**

Flood Policy Number: **24SSJ231PF3452**

Flood Coverage Amount: **\$119,700.00**

NOTICE! This policy meets the definition of private flood insurance contained in 42 U.S.C. 4012a(b)(7) and the corresponding regulation.

This certification request is based upon the regulatory requirements in the "National Flood Insurance Program - Mandatory Purchase of Flood Insurance Guidelines ("Guidelines") - September 2007" page 58.

When private flood coverage is being considered in lieu of an NFIP policy, a lender should understand and comply with FEMA's criteria (described below) for selection of the private insurer and the form of coverage. A private flood insurance policy that meets all six of the mandatory flood insurance purchase requirements of the 1994 Reform Act. The Standard Flood Insurance Policy (SFIP) is available on the FEMA website at: <http://www.fema.gov/business/nfip/sfip.shtm>.

a. Licensure

The insurer must be licensed, admitted, or otherwise approved to do business in the jurisdiction where the building is located, by the insurance regulator of that jurisdiction, except as indicated in b. below.

b. Surplus Lines Recognition (Non-Residential Commercial)

In the case of non-residential commercial property insurance issued under a policy of difference in conditions, multiple peril, all risk, or other blanket coverage, the insurer should be recognized, or not disapproved as a surplus lines insurer by the insurance regulator of the jurisdiction where the building is located.

c. Requirement of 45-Day Cancellation / Non-Renewal Notice

The private flood insurance policy should include a requirement for the insurer to give 45 days' written notice of cancellation or non-renewal to the insured with respect to the flood insurance coverage. The policy should also state that, to be effective, such notice must be mailed to both the insured and the lender or Federal agency lender, and must include information about the availability of flood insurance coverage under the NFIP. The policy should be as restrictive in its cancellation provision as the SFIP.

d. Breadth of Policy Coverage

The policy must guarantee that the flood insurance coverage considering deductibles, exclusions, and conditions offered by the insurer, is at least as broad as the coverage under the SFIP. (NFIP Coverage is not available for the risk location listed above)

e. Strength of Mortgage Interest Clause

Lenders must ensure that a mortgage interest clause similar to that contained in the General Conditions Section of the SFIP is contained in the policy (not applicable to Residential Condominium Building Association Policies - see Guidance p.45)

f. Legal Recourse

The policy must contain a provision that any suit by the insured regarding denial of all or part of the claim must be filed within 1 year after the date of written denial of all or part of the claim.



YES — The undersigned certifies that this policy meets all of the FEMA standard requirements specified above.



NO — This policy does not meet all of the FEMA standard requirements specified above. If NO, Lender Placement may occur unless an appropriate NFIP policy is received.

Insurance Company: **Sterling Surplus Underwriters**

Address: **PO Box 176, Madison, MS 39130**

Phone Number: **855-227-2202**

Email Address: **info@sterlingsu.com**

Signature of Insurance Agent Completing Certification:

A handwritten signature in blue ink, appearing to read 'C Brad Moncrief'.

Insurance Agent's Printed Name: **C Brad Moncrief**

1230NASR0155EI

WRITTEN LINES

Facility Number: B123024STE1355 (Section 1)

Underwriters:

- Underwriters at Lloyd's: **100.00%**

TOTAL: 100.00 % of 100%

Lloyds Syndicates:

<u>Percentage</u>	<u>Syndicate</u>
100.0000%	0033 HIS

Introduction

Various provisions in this policy restrict coverage. Please read the entire policy carefully to determine rights, duties and what is and is not covered.

Words and phrases that appear in bold have special meaning. Refer to the Definitions section.

This insurance meets the definition of Private Flood Insurance contained in 42 U.S.C. 4012A(B)(7) and the corresponding regulation.

Please note that flood insurance is also available through the National Flood Insurance Program.

Agreement

We will provide the insurance described in this policy in return for the premium and compliance with all applicable provisions of this policy.

If the National Flood Insurance Program for flood insurance to dwellings provides broader coverage than that provided under this insurance, that broader cover will automatically apply to this policy without additional premium charge.

Definitions

- a. In this policy, **you** and **your** refer to the **named insured** shown in the declarations and the spouse if a resident of the same household. **We, us** and **our** refer to the company providing this insurance.
- b. In addition, certain words and phrases are defined as follows:
 1. **Basement** means any area of the sunken room or sunken portion of a room, having its floor below ground level (subgrade) on all sides.
 2. **Business** means:
 - a. a trade, profession or occupation engaged in on a full-time, part-time or occasional basis; or
 - b. any other activity engaged in for money or other compensation, except the following:
 - i. one or more activities, not described in (2) through (4) below, for which no insured receives more than USD2,000 in total compensation for the 12 months before the beginning of the policy period;
 - ii. volunteer activities for which no money is received other than payment for expenses incurred to perform the activity;
 - iii. providing home day care services for which no compensation is received, other than the mutual exchange of such services; or
 - iv. the rendering of home day care services to a relative of an **insured**.
 3. **Condominium** means that form of ownership of real property in which each unit owner has an undivided interest in common elements.

4. **Flood** means a general and temporary condition of partial or complete inundation of normally dry land areas due to the unusual or rapid accumulation or runoff of surface waters from any source including, waves, tidal wave, tsunami, tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge).

Flood includes **mudflow**. All flooding in a continuous or protracted event will constitute a single **flood**.

5. **Insured** means:

- a. **you** and residents of **your** household who are:
 - i. **your** relatives; or
 - ii. other persons under the age of 21 and in **your** care or the care of a resident of **your** household who is **your** relative;
- b. a student enrolled in school full-time, as defined by the school, who was a resident of **your** household before moving out to attend school, provided the student is under the age of:
 - i. 24 and **your** relative; or
 - ii. 21 and in **your** care or the care of a resident of **your** household who is **your** relative; or

When the word **an** immediately precedes the word **insured**, the words **an insured** together mean one or more **insureds**.

6. **Mudflow** means a rapid movement of liquid and flowing mud caused by earth being saturated and carried by a current of water.

We do not include within this definition other earth movements such as landslide, mudslide or slope failure.

7. **Other structures** means any permanent structure within the grounds of the **residence premises** set apart from the dwelling by clear space. This includes:
- a. structures connected to the dwelling by only a fence, utility line, or similar connection;
 - b. garages used for domestic purposes;
 - c. terraces, patios, driveways, footpaths and walls.
8. **Pollutants** means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.
9. **Residence premises** means the non-**condominium** family dwelling where **you** reside or rent to others and which is shown as the **residence premises** in the declarations page.

Residence premises **also includes** other structures **and grounds at that location**.

Coverages

a. Coverage A - dwelling

- 1. **We** cover:
 - a. the dwelling on the **residence premises** shown in the declarations, including structures

attached to the dwelling; and

- b. materials and supplies stored in a fully enclosed building on the **residence premises** or on an adjacent property used to construct, alter or repair the dwelling or a detached garage on the **residence premises**.

2. **We** do not cover land, including land on which the dwelling is located.

3. With respect to dwelling property within a **basement**, the following limitations apply:

a. no coverage is provided:

- i. **you** declared a **basement** when **you** applied for this insurance; and
- ii. **basement** coverage is shown as in force in the declarations page.

b. where coverage is in force, coverage is limited to the following items which must be installed in their functioning locations and, if necessary for operation, connected to a power source:

- i. central air conditioners;
- ii. cisterns and the water in them;
- iii. drywall for walls and ceilings in a basement including the cost of labor to nail it, unfinished and unfloated and not taped, to the framing;
- iv. electrical junction and circuit breaker boxes;
- v. electrical outlets and switches;
- vi. elevators, dumbwaiters and related equipment. This does not include related equipment installed below the base flood elevation after September 30th, 1987;
- vii. fuel tanks and the fuel in them;
- viii. furnaces and hot water heaters;
- ix. heat pumps;
- x. nonflammable insulation in a basement;
- xi. pumps and tanks used in solar energy systems;
- xii. stairways and staircases attached to the building, not separated from it by elevated walkways;
- xiii. sump pumps;
- xiv. water softeners and the chemicals in them, water filters, and faucets installed as an integral part of the plumbing system;
- xv. well water tanks and pumps;
- xvi. footings, foundations, posts, pilings, piers, or other foundations walls and anchorage systems required to support a building; and
- xvii. required utility connections for any of the items (i) to (xvi) in this list.

b. Coverage B - other structures

1. **We** cover **other structures** on the **residence premises** set apart from the dwelling by clear

space. This includes structures connected to the dwelling by only a fence, utility line, or similar connection.

2. **We** do not cover:

- a. land, including land on which the **other structures** are located;
- b. **other structures** rented or held for rental to any person not a tenant of the dwelling, unless used solely as a private garage;
- c. **other structures** from which any **business** is conducted;
- d. **other structures** used to store **business** property. However, **we** do cover a structure that contains **business** property solely owned by an **insured** or a tenant of the dwelling, provided that **business** property does not include gaseous or liquid fuel, other than fuel in a permanently installed fuel tank of a vehicle or craft parked or stored in the structure; or
- e. hot tubs and spas that are not bathroom fixtures, swimming pools and their equipment including but not limited to heaters, filters, pumps and pipes;
- f. fences, retaining walls, culverts, ripraps, seawalls, bulkheads, wharves, piers, bridges or docks.

3. The limit of liability for this coverage will not be more than 10% of the limit of liability that applies to Coverage A. Use of this coverage does not reduce the Coverage A limit of liability.

c. **Coverage C - personal property**

1. **Covered property**

We cover personal property owned or used by an **insured** while it is anywhere in the world. After a loss and at your request, **we** will cover personal property owned by:

- a. others while the property is on the part of the **residence premises** occupied by an **insured**; or
- b. a guest or a residence employee, while the property is in any residence occupied by an **insured**.

2. **Limit for basement personal property**

With respect to personal property within a **basement**, the following limitations apply:

- a. no coverage is provided unless:
 - (1) **you** declared a **basement** when **you** applied for this insurance; and
 - (2) an amount for **basement** personal property coverage is shown in the declarations page.
- b. Where coverage is in force, **our** limit of liability for each loss for all personal property within a **basement** is USD15,000. This limit does not increase the Coverage C limit of liability

The **basement** personal property limit does not apply to any the following items of personal property within a **basement**, when installed in its functioning location and, if necessary for operation, connected to a power source:

- (1) air conditioning units, other than central air conditioners;

(2) clothes washers and dryers; and

(3) food freezers, other than walk-in, and food in any freezer;

However, any amount **we** pay for items in the above list will reduce the amount of cover remaining for other covered **basement** personal property which is not in this list. For example:

Example 1

For one loss, if the total **we** pay for items listed above in b. i-iii. is USD20,000, there will be no coverage amount remaining for any items of covered personal property which are not listed above in c. i.-iii., for example sofas and/or televisions, and therefore **we** will not pay for such non-listed items.

Example 2

For one loss, if the total **we** pay for items listed above in b. i-iii. is USD5,000, **we** will also pay up to a total of USD10,000 for items of covered personal property which are not listed above in b. i.-iii., for example sofas and/or televisions.

3. Limit for property at other locations

a. Other residences

Our limit of liability for personal property usually located at an **insured's** residence, other than the **residence premises**, is 10% of the limit of liability for Coverage C, or USD1,000, whichever is greater. However, this limitation does not apply to personal property:

1. moved from the **residence premises** because it is:
 - a. being repaired, renovated or rebuilt; and
 - b. not fit to live in or store property in;
2. on a newly acquired principal residence for 30 days from the time **you** begin to move the property there.

b. Self-storage facilities

Our limit of liability for personal property owned or used by an **insured** and located in a self-storage facility is 10% of the limit of liability for Coverage C, or USD1,000, whichever is greater. However, this limitation does not apply to personal property moved from the **residence premises** because it is:

- a. being repaired, renovated or rebuilt; and
- b. not fit to live in or store property in.

4. Special limits of liability

The special limit for each category shown below is the total limit for each loss for all property in that category. These special limits do not increase the Coverage C limit of liability.

- a. USD200 on money, bank notes, bullion, gold other than goldware, silver other than silverware, platinum other than platinumware, coins, medals, scrip, stored value cards and smart cards.

- b. USD1,500 on securities, accounts, deeds, evidences of debt, letters of credit, notes other than bank notes, manuscripts, personal records, passports, tickets and stamps. This Dollar limit applies to these categories regardless of the medium (such as paper or computer software) on which the material exists.

This limit includes the cost to research, replace or restore the information from the lost or damaged material.

- c. USD1,500 on trailers or semitrailers.
- d. USD2,500 on jewelry, watches, furs and garments trimmed with or consisting principally of fur, precious and semiprecious stones.
- e. USD2,500 on cameras, projection machines, films and related articles of equipment;
- f. USD2,500 on musical equipment and related articles of equipment
- g. USD2,500 on golf clubs and golf equipment;
- h. USD2,500 on antiques, fine arts, paintings and similar articles of rarity or antiquity, which cannot be replaced, memorabilia, souvenirs, collectors' items and similar articles, whose age or history contribute to their value
- i. USD2,500 on firearms and related equipment.
- j. USD2,500 on silverware, silver-plated ware, goldware, gold-plated ware, platinumware, platinum-plated ware and pewterware. This includes flatware, hollowware, tea sets, trays and trophies made of or including silver, gold or pewter.
- k. USD2,500 on property, on the **residence premises**, used primarily for **business** purposes.
- l. USD1,500 on property, away from the **residence premises**, used primarily for **business** purposes. However, this limit does not apply to antennas, tapes, wires, records, disks or other media that are:
 - 1. used with electronic equipment that reproduces, receives or transmits audio, visual or data signals; and
 - 2. in or upon a motor vehicle.
- m. USD250 on portable electronic equipment that:
 - 1. reproduces, receives or transmits audio, visual or data signals;
 - 2. is designed to be operated by more than one power source, one of which is a motor vehicle's electrical system; and
 - 3. is in or upon a motor vehicle.
- n. USD250 for antennas, tapes, wires, records, disks or other media that are:
 - 1. used with electronic equipment that reproduces, receives or transmits audio, visual or data signals; and
 - 2. In or upon a motor vehicle.

5. **Property not covered**

We do not cover:

- a. articles separately described and specifically insured, regardless of the limit for which they are insured, in this or other insurance;
- b. animals, birds or fish;
- c. trees (except to the extent that coverage for felled trees is provided in e.1.b. under the Debris removal additional coverage), shrubs, plants or lawns;
- d. motor vehicles.

This includes a motor vehicle's equipment and parts; However, this paragraph 4.c. does not apply to:

Motor vehicles not required to be registered for use on public roads or property which are:

- 1. used solely to service a residence; or
- 2. designed to assist the handicapped;

- e. aircraft, meaning any contrivance used or designed for flight, including any parts whether or not attached to the aircraft.

We do cover model or hobby aircraft not used or designed to carry people or cargo;

- f. hovercraft or watercraft including their engines, parts, furnishings and equipment;

Hovercraft means a self-propelled motorized ground effect vehicle and includes, but is not limited to, flarecraft and air cushion vehicles;

- g. property of roomers, boarders and other tenants, except property of roomers and boarders related to an **insured**;
- h. property in an apartment regularly rented or held for rental to others by an **insured**;
- i. property rented or held for rental to others off the **residence premises**;
- j. **business** data, including such data stored in:
 - 1. books of account, drawings or other paper records; or
 - 2. computers and related equipment.

We do cover the cost of blank recording or storage media and of pre-recorded computer programs available on the retail market;

- k. credit cards, electronic fund transfer cards or access devices used solely for deposit, withdrawal or transfer of funds;
- l. virtual currency of any kind, by whatever name known, whether actual or fictitious including, but not limited to, digital currency, crypto currency or any other type of electronic currency;
- m. water or steam.
- n. grave markers.

d. **Coverage D - optional cover for loss of use**

The limit of liability shown in the declarations page for Coverage D is the total limit for the coverages in 1. Additional living expense and 2. Fair rental value below. No coverage is provided for this optional

cover unless a limit of liability for Coverage D is shown in the declarations page.

1. **Additional living expense**

If a loss covered under this insurance makes that part of the **residence premises** where **you** reside not fit to live in, **we** cover any necessary increase in living expenses incurred by **you** so that **your** household can maintain its normal standard of living. **We** do not cover the first five days of **your** additional living expenses.

Payment will be for the shortest time required to repair or replace the damage or, if **you** permanently relocate, the shortest time required for **your** household to settle elsewhere.

The most **we** will pay for **your** additional living expenses in each period of 30 consecutive days is 1/12th of the limit of liability stated in the declarations page for Coverage D. For example: when the limit of insurance is USD30,000 the most **we** will pay for each period of 30 consecutive days is USD2,500.

2. **Fair rental value**

If a loss covered under this insurance makes that part of the **residence premises** rented to others or held for rental by **you** not fit to live in, **we** cover the fair rental value of such premises less any expenses that do not continue while it is not fit to live in. **We** do not cover the first five days of loss of **your** loss of rental value.

Payment will be for the shortest time required to repair or replace such premises.

The most **we** will pay for **your** loss of rental value in each period of 30 consecutive days is 1/12th of the limit of liability stated in the declarations page for Coverage D. For example: when the limit of insurance is USD30,000 the most **we** will pay for each period of 30 consecutive days is USD2,500.

3. **Loss or expense not covered**

We do not cover loss or expense due to cancellation of a lease or agreement.

We do not cover loss arising from a civil authority prohibiting access to the residence premises.

The periods of time under 1. Additional living expense, 2. Fair rental value prohibits use above are not limited by expiration of this policy.

e. **Additional coverages**

1. **Debris removal**

- a. **We** will pay **your** reasonable expense for the removal of debris on the **residence premises**.

This expense is included in the limit of liability that applies to the damaged property. If the amount to be paid for the actual damage to the property plus the debris removal expense is more than the limit of liability for the damaged property, an additional 5% of that limit or USD10,000, whichever the lesser, is available for such expense.

- b. **We** will also pay **your** reasonable expense, up to USD1,000, for the removal from the **residence premises** of **your** trees or a neighbors trees felled by a **flood** provided the trees:

1. damage a covered structure; or

2. do not damage a covered structure, but:

- a. block a driveway on the **residence premises** which prevents a motor vehicle, that is registered for use on public roads or property, from entering or leaving

the **residence premises**; or

- b. block a ramp or other fixture designed to assist a handicapped person to enter or leave the dwelling building.

The USD1,000 limit is the most **we** will pay in any one loss, regardless of the number of fallen trees. No more than USD500 of this limit will be paid for the removal of any one tree.

This coverage does not increase the maximum limit of liability shown in the declarations page.

2. Prevention of loss

- a. **We** will pay the reasonable cost incurred by **you** for the necessary measures taken solely to protect covered property that is damaged by **flood** from further damage. This includes up to USD2,500 towards the reasonable cost incurred by **you** to protect the **residence premises** in imminent danger of **flood**.
- b. If the measures taken involve repair to other damaged property, **we** will only pay if that property is covered under this policy and the damage is caused by a **flood**. This coverage does not:
 1. increase the limit of liability that applies to the covered property; or
 2. relieve **you** of **your** duties, in case of a loss to covered property, described in C.4. under Conditions.

3. Mold prevention costs

You must take all reasonable measures to prevent mold growing in **your** home after a **flood** has receded. Reasonable measures include but are not limited to inspecting the **residence premises**; removing as much floodwater and damaged property from **your** home as **you** can; using dehumidifiers, fans or heaters to dry out **your** home; contacting a mold remediation company or water damage specialist who perform clean ups of flooded homes.

We will pay up to USD2,500 for the reasonable and necessary cost and expenses that **you** incur to carry out the above measures.

4. Loss assessment

- a. **We** will pay up to USD1,000 for **your** share of loss assessment charged during the policy period against **you**, as owner or tenant of the **residence premises**, by a corporation or association of property owners. The assessment must be made as a result of direct loss to property, owned by all members collectively, of the type that would be covered by this policy if owned by **you**, caused by **flood**.

The limit of USD1,000 is the most **we** will pay with respect to any one loss, regardless of the number of assessments. **We** will only apply one deductible, per unit, to the total amount of any one loss to the property described above, regardless of the number of assessments.

- b. **We** do not cover assessments charged against **you** or a corporation or association of property owners by any governmental body.

This coverage does not increase the maximum limit of liability shown in the declarations page.

5. Ordinance or law

- a. **You** may use up to USD30,000 or 5% of the limit of liability that applies to Coverage A,

whichever is greater, for the increased costs **you** incur due to the enforcement of any ordinance or law which requires or regulates:

1. the construction, demolition, remodeling, renovation or repair of that part of a covered building or **other** structure damaged by a **flood**;
 2. the demolition and reconstruction of the undamaged part of a covered building or **other structure**, when that building or other structure must be totally demolished because of damage by a **flood** to another part of that covered building or **other structure**; or
 3. the remodeling, removal or replacement of the portion of the undamaged part of a covered building or **other structure** necessary to complete the remodeling, repair or replacement of that part of the covered building or **other structure** damaged by a **flood**.
- b. **You** may use all or part of this ordinance or law coverage to pay for the increased costs **you** incur to remove debris resulting from the construction, demolition, remodeling, renovation, repair or replacement of property as stated in a. above.
- c. **We** do not cover:
1. the loss in value to any covered building or **other structure** due to the requirements of any ordinance or law; or
 2. the costs to comply with any ordinance or law which requires any **insured** or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, **pollutants** in or on any covered building or other structure; or
 3. loss due to any ordinance or law that **you** were required to comply with prior to the date of the loss or damage occurring.

This coverage does not increase the maximum limit of liability shown in the declarations page.

Peril insured against

We insure against direct physical loss or physical damage occurring during the period of this policy to the property described in this policy which is caused by **flood**.

Exclusions

We do not insure for loss caused directly or indirectly by any of the following. Such loss is excluded regardless of any other cause or event contributing concurrently or in any sequence to the loss. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area.

Loss caused by any of the following:

1. **Pollutants**
Discharge, dispersal, seepage, migration, release or escape of **pollutants** unless the discharge, dispersal, seepage, migration, release or escape is the direct and immediate result of **flood**.
2. **Ordinance or law**

Ordinance or law means any ordinance or law:

- a. requiring or regulating the construction, demolition, remodeling, renovation or repair of property, including removal of any resulting debris. This exclusion 2.a. does not apply to the amount of coverage that may be provided for in e.6 Ordinance or law;
- b. the requirements of which result in a loss in value to property; or
- c. requiring any **insured** or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, **pollutants**.

This exclusion 2. applies whether or not the property has been physically damaged.

3. **Earth movement**

Earth movement means:

- a. earthquake, including land shock waves or tremors before, during or after a volcanic eruption;
- b. landslide;
- c. subsidence, landslide, slope failure or sinkhole; or
- d. gradual erosion or any other earth movement including earth sinking, rising or shifting.

This exclusion applies regardless of whether any of the above, in a. through to d., is caused by an act of nature or is otherwise caused.

4. **Water**

This means:

- a. water which:
 1. backs up through sewers or drains; or
 2. overflows, escapes or is otherwise discharged from any water main, water pipe, hose pipe, water tank or other apparatus; or
 3. overflows, escapes or is otherwise discharged from a sump, sump pump or related equipment.
- b. water below the surface of the ground, including water which exerts pressure on, or seeps, leaks or flows through a building, sidewalk, driveway, patio, foundation, swimming pool or **other structure**.

This exclusion 4. does not apply if any of the above, in 4.a through 4.b, is caused solely and directly by **flood**.

5. **Power failure**

Power failure means the failure of power or other utility service if the failure takes place off the **residence premises**. But if the failure results in a loss from a **flood** on the **residence premises** we will pay for the loss caused by such **flood**.

6. **Neglect**

Neglect means neglect of an **insured** to use all reasonable means to save and preserve property at and after the time of a loss.

7. **Intentional loss**

Intentional Loss means any loss arising out of any act an **insured** commits or conspires to commit with the intent to cause a loss.

In the event of such loss, no **insured** is entitled to coverage, even **insureds** who did not commit or

conspire to commit the act causing the loss.

8. **Mold**

Mold, mildew, fungus, spores or other microorganism of any type, nature or description, including but not limited to any substance whose presence poses an actual or potential threat to human health that:

- a. is substantially confined to the dwelling;
- b. results from **your** failure to take reasonable measures to prevent mold growing in **your** home after a **flood** has receded.

Reasonable measures include but are not limited to inspecting the **residence premises**, removing as much floodwater and damaged property from **your** home as **you** can; using dehumidifiers, fans or heaters to dry out **your** home; contacting a mold remediation company or water damage specialist who perform clean-ups of flooded homes.

9. **Governmental action**

Governmental action means the destruction, confiscation or seizure of property described in this policy by order of any governmental or public authority.

10. **Flood prior to inception**

Flood that is already in progress at the inception date of this insurance.

Conditions

a. Insurable interest and limit of liability

Even if more than one person has an insurable interest in the property covered, **we** will not be liable in any one loss:

1. to an **insured** for more than the amount of such **insured's** interest at the time of loss; or
2. for more than the applicable limit of liability.

b. **Deductible**

Unless otherwise noted in this policy, the following deductible provision applies:
With respect to any one loss:

1. subject to the applicable limit of liability, **we** will pay only that part of the total of all loss payable that exceeds the deductible amount shown in the declarations.
2. If two or more deductibles under this policy apply to the loss, only the highest deductible amount will apply.

c. **Duties after loss**

In case of a loss to covered property, **we** have no duty to provide coverage under this policy if the failure to comply with the following duties is prejudicial to **us**. These duties must be performed either by **you**, an **insured** seeking coverage, or a representative of either:

1. give prompt notice to **us** or **our** agent;
2. protect the property from further damage. If repairs to the property are required, **you** must:
 - a. make reasonable and necessary repairs to protect the property; and
 - b. keep an accurate record of repair expenses;

3. co-operate with **us** in the investigation of a claim;
4. prepare an inventory of damaged personal property showing the quantity, description, actual cash value and amount of loss. Attach all bills, receipts and related documents that justify the figures in the inventory;
5. as often as **we** reasonably require:
 - a. show the damaged property;
 - b. provide **us** with records and documents **we** request and permit **us** to make copies; and
 - c. submit to examination under oath, while not in the presence of another **insured**, and sign the same;
6. send to **us**, within 60 days after **our** request, **your** signed, sworn proof of loss which sets forth, to the best of **your** knowledge and belief:
 - a. the time and cause of loss;
 - b. the interests of all **insureds** and all others in the property involved and all liens on the property;
 - c. other insurance which may cover the loss;
 - d. changes in title or occupancy of the property during the term of the policy;
 - e. specifications of damaged buildings and detailed repair estimates;
 - f. the inventory of damaged personal property;
 - g. receipts for additional living expenses incurred and records that support the fair rental value loss.

d. **Loss settlement**

In this condition D., the terms cost to repair or replace and replacement cost do not include the increased costs incurred to comply with the enforcement of any ordinance or law, except to the extent that coverage for these increased costs is provided in e.6. Ordinance or law. Covered property losses are settled as follows:

1. property of the following types:
 - a. personal property;
 - b. awnings, carpeting, household appliances, outdoor antennas and outdoor equipment, whether or not attached to buildings;
 - c. structures that are not buildings; andat actual cash value at the time of loss but not more than the amount required to repair or replace.
2. buildings covered under Coverage A or B at the cost to repair or replace without deduction for depreciation but not more than the least of the following amounts:
 - a. the limit of liability under this policy that applies to the building;
 - b. the replacement cost of that part of the building damaged with material of like kind and quality and for like use; or
 - c. the necessary amount actually spent to repair or replace the damaged building.

If the building is rebuilt at a new premises, the cost described in (2) above is limited to the cost

which would have been incurred if the building had been built at the original premises.

We will pay no more than the actual cash value of the damage until actual repair or replacement is complete. Once actual repair or replacement is complete, **we** will settle the loss as noted above.

You may disregard the replacement cost loss settlement provisions and make claim under this policy for loss to buildings on an actual cash value basis. **You** may then make claim for any additional liability according to the provisions of this condition D. Loss Settlement, provided **you** notify **us**, within 180 days after the date of loss, of **your** intent to repair or replace the damaged building.

e. Loss to a pair or set

In case of loss to a pair or set **we** may elect to:

1. repair or replace any part to restore the pair or set to its value before the loss; or
2. pay the difference between actual cash value of the property before and after the loss.

f. Appraisal

If **you** and **we** fail to agree on the amount of loss, either may demand an appraisal of the loss. In this event, each party will choose a competent and impartial appraiser within 20 days after receiving a written request from the other. The two appraisers will choose an umpire. If they cannot agree upon an umpire within 15 days, **you** or **we** may request that the choice be made by a judge of a court of record in the state where the **residence premises** is located. The appraisers will separately set the amount of loss. If the appraisers submit a written report of an agreement to **us**, the amount agreed upon will be the amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will set the amount of loss.

Each party will:

1. pay its own appraiser; and
2. bear the other expenses of the appraisal and umpire equally.

g. Other insurance and service agreement

If a loss covered by this policy is also covered by:

1. other insurance, **we** will pay only the proportion of the loss that the limit of liability that applies under this policy bears to the total amount of insurance covering the loss; or
2. a service agreement, this insurance is excess over any amounts payable under any such agreement. Service agreement means a service plan, property restoration plan, home warranty or other similar service warranty agreement, even if it is characterized as insurance.

h. Suit against us

No action can be brought against **us** unless there has been full compliance with all of the terms under this policy and the action is started within 12 months from the date of **our** written denial of all or part of **your** claim.

i. Our option

If **we** give **you** written notice within 30 days after **we** receive **your** signed, sworn proof of loss, **we** may repair or replace any part of the damaged property with material or property of like kind and quality.

j. Loss payment

We will adjust all losses with **you**. **We** will pay **you** unless some other person is named in the policy or is legally entitled to receive payment. Loss will be payable 60 days after **we** receive **your** proof of loss

and:

1. reach an agreement with **you**;
2. there is an entry of a final judgment; or
3. there is a filing of an appraisal award with **us**.

k. **Abandonment of property**

We need not accept any property abandoned by an **insured**.

l. **Mortgage clause**

1. If a mortgagee is named in this policy, any loss payable under Coverage A or B will be paid to the mortgagee and **you**, as interests appear. If more than one mortgagee is named, the order of payment will be the same as the order of precedence of the mortgages.
2. If **we** deny **your** claim, that denial will not apply to a valid claim of the mortgagee, if the mortgagee:
 - a. notifies **us** of any change in ownership, occupancy or substantial change in risk of which the mortgagee is aware;
 - b. pays any premium due under this policy on demand if **you** have neglected to pay the premium; and
 - c. submits a signed, sworn statement of loss within 60 days after receiving notice from **us** of **your** failure to do so. Paragraphs f. Appraisal, h. Suit against **us** and j. Loss payment under Conditions also apply to the mortgagee.
3. If **we** decide not to renew or to cancel this policy, the mortgagee will be notified at least 45 days, or the minimum number of days required by law, before the date nonrenewal or cancellation takes effect.
4. If **we** pay the mortgagee for any loss and deny payment to **you**:
 - a. **we** are subrogated to all the rights of the mortgagee granted under the mortgage on the property; or
 - b. at **our** option, **we** may pay to the mortgagee the whole principal on the mortgage plus any accrued interest. In this event, **we** will receive a full assignment and transfer of the mortgage and all securities held as collateral to the mortgage debt.
5. Subrogation will not impair the right of the mortgagee to recover the full amount of the mortgagee's claim.

m. **No benefit to bailee**

We will not recognize any assignment or grant any coverage that benefits a person or organization holding, storing or moving property for a fee regardless of any other provision of this policy.

n. **Recovered property**

If **you** or **we** recover any property for which **we** have made payment under this policy, **you** or **we** will notify the other of the recovery. At **your** option, the property will be returned to or retained by **you** or it will become **our** property. If the recovered property is returned to or retained by **you**, the loss payment will be adjusted based on the amount **you** received for the recovered property.

o. **Policy period**

This policy applies only to loss which occurs during the policy period.

p. **Concealment or fraud**

No coverage is provided under this policy if, whether before or after a loss, an **insured** has:

1. intentionally concealed or misrepresented any material fact or circumstance;
2. engaged in fraudulent conduct; or
3. made false statements;

relating to this insurance.

q. **Loss payable clause**

If the declarations page shows a loss payee for certain listed **insured** personal property, the definition of insured is changed to include that loss payee with respect to that property.

If **we** decide to cancel this policy, that loss payee will be notified in writing.

r. **Waiver or change of policy provisions**

A waiver or change of a provision of this policy must be in writing by **us** to be valid. **Our** request for an appraisal or examination will not waive any of **our** rights.

s. **Cancellation**

1. **You** may cancel this policy at any time by returning it to **us** or by letting **us** know in writing of the date cancellation is to take effect.
2. **We** may cancel this policy only for the reasons stated below by letting **you** know in writing of the date cancellation takes effect. This cancellation notice may be delivered to **you**, or mailed to **you** at **your** mailing address shown in the declarations page. Proof of mailing will be sufficient proof of notice:
 - a. when **you** have not paid the premium, **we** may cancel at any time by letting **you** know at least ten days, or the minimum number of days required by law, before the date cancellation takes effect;
 - b. when this policy has been in effect for less than 60 days and is not a renewal with **us**, **we** may cancel for any reason by letting **you** know at least ten days, or the minimum number of days required by law, before the date cancellation takes effect;
 - c. when this policy has been in effect for 60 days or more, or at any time if it is a renewal with **us**, **we** may cancel:
 1. if there has been a material misrepresentation of fact which if known to **us** would have caused **us** not to issue the policy; or
 2. if the risk has changed substantially since the policy was issued.

This can be done by letting **you** know at least 45 days, or the minimum number of days required by law, before the date cancellation takes effect.

- d. when this policy is written for a period of more than one year, **we** may cancel for any reason at anniversary by letting **you** know at least 45, or the minimum number of days required by law, before the date cancellation takes effect.
3. when this policy is canceled, the premium for the period from the date of cancellation to the expiration date will be refunded pro-rata.
4. if the return premium is not refunded with the notice of cancellation or when this policy is returned to **us**, **we** will refund it within a reasonable time after the date cancellation takes effect.

t. **Assignment**

Assignment of this policy will not be valid unless **we** give **our** written consent.

u. **Subrogation**

An **insured** may waive in writing before a loss all rights of recovery against any person. If not waived, **we** may require an assignment of rights of recovery for a loss to the extent that payment is made by **us**.

If an assignment is sought, an **insured** must sign and deliver all related papers and co-operate with **us**.

v. **Death**

If any person named in the declarations page or the spouse, if a resident of the same household, dies, the following apply:

1. **we** insure the legal representative of the deceased but only with respect to the premises and property of the deceased covered under the policy at the time of death; and
2. **insured** includes:
 - a. an **insured** who is a member of **your** household at the time of **your** death, but only while a resident of the **residence premises**; and
 - b. with respect to **your** property, the person having proper temporary custody of the property until appointment and qualification of a legal representative.

w. **Service of suit**

In the event of **our** failure to pay any amount claimed to be due under this insurance, **we**, at **your** request, will submit to the jurisdiction of a court of competent jurisdiction within the United States. Nothing in this clause constitutes or should be understood to constitute a selection of controlling law or a waiver of **our** rights to commence an action in any court of competent jurisdiction in the United States, to remove an action to a United States District court, or to seek a transfer of a case to another court as permitted by the laws of the United States or of any state in the United States. It is further agreed that service of process in such suit may be made upon the attorney named in this insurance and that in any suit instituted against any one of **us**, **we** will abide by the final decision of such court or of any appellate court in the event of an appeal.

The attorney named in this insurance is authorized and directed to accept service of process on **our** behalf in any such suit and/or upon **your** request to give a written undertaking to **you** that they will enter a general appearance upon **our** behalf in the event such a suit shall be instituted.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefore, **we** hereby designate the superintendent, commissioner or director of insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as **our** true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of **you** or any beneficiary hereunder arising out of this contract of insurance, and hereby designate the attorney named in this insurance as the person to whom the said officer is authorized to mail such process or a true copy thereof.

x. **Insurers' several shares**

Each insurer underwriting a share of the limits in this policy has a several liability for that share that is not joint and is limited solely to that insurer's individual subscription. Each insurer is not responsible for the subscription of any other Insurer who for any reason does not satisfy all or part of its obligations.

y. **Sanctions**

We shall not provide any benefit under this policy to the extent of providing cover, payment of any claim or the provision of any benefit where doing so would breach any sanction, prohibition or restriction imposed by law or regulation.

Governing law

This policy is governed by the state law of the court having jurisdiction as determined by the provisions of the above service of suit clause.

Private Flood Insurance
Advisory notice (Biggert-Waters Act)

Please note flood insurance is also available through the National Flood Insurance Program.

This policy meets the definition of private flood insurance contained in 42 U.S.C. 4012a(b)(7) and the corresponding regulation.

This insurance policy:

- is issued by an insurer that is approved to engage in the business of insurance in the State in which the insured building is located by the insurance regulator of that State;
- provides flood insurance coverage which is at least as broad as the coverage provided under a standard flood insurance policy under the national flood insurance program;
- includes a requirement for the insurer to give 45 days' written notice of cancellation or non-renewal of flood insurance coverage to the insured and the regulated lending institution of Federal agency lender;
- includes:
 1. information about the availability of flood insurance coverage under the national flood insurance program;
 2. a mortgage interest clause similar to the clause contained in a standard flood insurance policy under the national flood insurance program; and
 3. provision requiring an insured to file suit not later than one year after date of a written denial of all or part of a claim under this policy;
- contains cancellation provisions that are as restrictive as the provisions contained in a standard flood insurance policy under the national flood insurance program.

Loss Settlement Endorsement — Buildings

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

Condition d. - Loss settlement

Condition d. 2. under 'Loss settlement' is deleted and replaced by the following:

Buildings covered under Coverage A or B at the cost to repair or replace without deduction for depreciation, subject to the following:

- a. If, at the time of loss, the amount of insurance in this policy on the damaged building is 80% or more of the full replacement cost of the building immediately before the loss, **we** will pay the cost to repair or replace, without deduction for depreciation, but not more than the least of the following amounts:
 1. The limit of liability under this policy that applies to the building;
 2. The replacement cost of that part of the building damaged with material of like kind and quality and for like use; or
 3. The necessary amount actually spent to repair or replace the damaged building.

If the building is rebuilt at a new premises, the cost described in 2. above is limited to the cost which would have been incurred if the building had been built at the original premises.

- b. If, at the time of loss, the amount of insurance in this policy on the damaged building is less than 80% of the full replacement cost of the building immediately before the loss, **we** will pay the greater of the following amounts, but not more than the limit of liability under this policy that applies to the building:
 1. The actual cash value of that part of the building damaged; or
 2. That proportion of the cost to repair or replace, without deduction for depreciation, that part of the building damaged, which the total amount of insurance in this policy on the damaged building bears to 80% of the replacement cost of the building.
- c. To determine the amount of insurance required to equal 80% of the full replacement cost of the building immediately before the loss, do not include the value of:
 1. Excavations, footings, foundations, piers, or any other structures or devices that support all or part of the building, which are below the undersurface of the lowest basement floor;
 2. Those supports described in (1) above which are below the surface of the ground inside the foundation walls, if there is no basement; and
 3. Underground flues, pipes, wiring and drains.

- d. **We** will pay no more than the actual cash value of the damage until actual repair or replacement is complete. Once actual repair or replacement is complete, **we** will settle the loss as noted in a. and b. above.

However, if the cost to repair or replace the damage is both:

1. Less than 5% of the amount of insurance in this policy on the building; and
2. Less than \$2,500;

we will settle the loss as noted in a. and b. above whether or not actual repair or replacement is complete.

- e. **You** may disregard the replacement cost loss settlement provisions and make claim under this policy for loss to buildings on an actual cash value basis. **You** may then make claim for any additional liability according to the provisions of this Condition D. Loss Settlement, provided **you** notify **us**, within 180 days after the date of loss, of **your** intent to repair or replace the damaged building.

All other provisions of the policy not specifically modified by this endorsement apply.

Personal Property Replacement Cost Loss Settlement Endorsement

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

A. Eligible property

1. Covered losses to the following property are settled at replacement cost at the time of the loss:
 - a. Coverage C; and
 - b. If covered in this policy:
 1. Awnings, outdoor antennas and outdoor equipment; and
 2. Carpeting and household appliances; whether or not attached to buildings.
2. This method of loss settlement will also apply to the following articles or classes of property if they are separately described and specifically insured in this policy and not subject to agreed value loss settlement:
 - a. Jewelry;
 - b. Furs and garments:
 1. Trimmed with fur; or
 2. Consisting principally of fur;
 - c. Cameras, projection machines, films and related articles of equipment;
 - d. Musical equipment and related articles of equipment;
 - e. Silverware, silver-plated ware, goldware, gold-plated ware and pewterware, but excluding:
 1. Pens or pencils;
 2. Flasks;
 3. Smoking implements; or
 4. Jewelry; and
 - f. Golfer's equipment meaning golf clubs, golf clothing and golf equipment.

Personal Property Replacement Cost loss settlement will not apply to other classes of property separately described and specifically insured.

B. Ineligible property

Property listed below is not eligible for replacement cost loss settlement. Any loss will be settled at actual cash value at the time of loss but not more than the amount required to repair or replace.

1. Antiques, fine arts, paintings and similar articles of rarity or antiquity, which cannot be replaced.
2. Memorabilia, souvenirs, collectors items and similar articles, whose age or history contribute to their value.
3. Articles not maintained in good or workable condition.
4. Articles that are outdated or obsolete and are stored or not being used.

C. Replacement Cost Loss Settlement Condition

The following loss settlement condition applies to all property described in **A.** above:

1. We will pay no more than the least of the following amounts:
 - a. Replacement cost at the time of loss without deduction for depreciation;
 - b. The full cost of repair at the time of loss;
 - c. The limit of liability that applies to **Coverage C**, if applicable;
 - d. Any applicable special limits of liability stated in this policy; or
 - e. For loss to any item described in **A.2.a. - f.** above, the limit of liability that applies to the item.
2. If the cost to repair or replace the property described in A. above is more than \$500, we will pay no more than the actual cash value for the loss until the actual repair or replacement is complete.
3. You may make a claim for loss on an actual cash value basis and then make claim for any additional liability in accordance with this endorsement provided you notify us, within 180 days after the date of the loss, of your intent to repair or replace the damaged property.

All other provisions of this policy apply.

PPRCE — Personal Property Replacement Cost Endorsement

FLOOD LENDER'S ENDORSEMENT NUMBER 1

Requirement of 45 - Day Cancellation / Non-Renewal Notice

It is hereby noted and agreed that the insurer agrees to give 45 days' written notice of cancellation or non-renewal to the insured with respect to the flood insurance coverage. The notice of cancellation / non-renewal shall be mailed to both the insured and the lender.

It is further noted that agreed that the following sentence in 'NMA 1331 U.S.A. and Canada Cancellation Clause' is amended **from:**

This Insurance may also be cancelled by or on behalf of the Underwriters by delivering to the Assured or by mailing to the Assured, by registered, certified or other first class mail, at the Assured's address as shown in this Insurance, written notice stating when, not less than 30 days thereafter, the cancellation shall be effective.

to the following:

This Insurance may also be cancelled by or on behalf of the Underwriters by delivering to the Assured or by mailing to the Assured, by registered, certified or other first class mail, at the Assured's address as shown in this Insurance, written notice stating when, not less than 45 days thereafter, the cancellation shall be effective.

Lending Insurer
Date

Settlement Due Date –

In the absence of anything to the contrary, the Settlement Due Date shall be calculated as being 75 days from the end of the month in which this endorsement becomes effective

Allocation of Premium to coding to be as per original slip

FLOOD LENDER'S ENDORSEMENT NUMBER 2

Suit Against Us

It is hereby noted and agreed that any suit brought by the insured against us, regarding denial of all, or part of any claim against us, must be filed within 1 year after the date of written denial of all or part of the claim. This suit must be filed in the United States District Court of the District in which the insured property was located in at the time of the loss.

Lending Insurer
Date

Settlement Due Date –

In the absence of anything to the contrary, the Settlement Due Date shall be calculated as being 75 days from the end of the month in which this endorsement becomes effective

Allocation of Premium to coding to be as per original slip

**U.S. TREASURY DEPARTMENT'S OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") ADVISORY
NOTICE TO POLICYHOLDERS**

No coverage is provided by this Policyholder Notice nor can it be construed to replace any provisions of your policy. You should read your policy and review your Declarations page for complete information on the coverages you are provided.

This Notice provides information concerning possible impact on your insurance coverage due to directives issued by OFAC. **Please read this Notice carefully.**

The Office of Foreign Assets Control (OFAC) administers and enforces sanctions policy, based on Presidential declarations of "national emergency". OFAC has identified and listed numerous:

- Foreign agents;
- Front organizations;
- Terrorists;
- Terrorist organizations; and
- Narcotics traffickers;

as "Specially Designated Nationals and Blocked Persons". This list can be located on the United States Treasury's web site – <http://www.treas.gov/ofac>.

In accordance with OFAC regulations, if it is determined that you or any other insured, or any person or entity claiming the benefits of this insurance has violated U.S. sanctions law or is a Specially Designated National and Blocked Person, as identified by OFAC, this insurance will be considered a blocked or frozen contract and all provisions of this insurance are immediately subject to OFAC. When an insurance policy is considered to be such a blocked or frozen contract, no payments nor premium refunds may be made without authorization from OFAC. Other limitations on the premiums and payments also apply.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SPECIAL PROVISIONS - CALIFORNIA

NOTICE

Throughout this Policy, the term spouse includes an individual registered under California Law as a domestic partner with the "named insured" shown in the Declarations.

SECTION I - PROPERTY COVERAGES

A. Coverage A - Dwelling

In Forms **HO 00 02, HO 00 03, HO 00 05 and HO 00 08**, the following is added:

If a state of emergency under California Law is declared, you may combine the policy limits for Coverage **A** and Coverage **B**, for any of the covered expenses reasonably necessary to rebuild or replace the damaged or destroyed dwelling, if the Coverage **A** policy limits to rebuild or replace the dwelling are insufficient. This provision does not increase the limit of liability that applies to Coverage **B**. Claims payments for other structures in excess of the amount applied towards the necessary cost to rebuild or replace the damaged or destroyed dwelling shall be paid according to the terms of the Policy.

D. Coverage D - Loss Of Use

1. Additional Living Expense

The following paragraph is added:

However, if a state of emergency under California Law is declared, payment will be for a period no less than:

- a. The time required to repair or replace the damage or, if you permanently relocate, the shortest time required for your household to settle elsewhere; or
- b. 24 months from the date of loss;

whichever is shorter.

If you, acting in good faith and with reasonable diligence, encounter a delay or delays in approval for, or reconstruction of, the home or residence that are beyond your control, we shall provide an additional extension of 12 months. Circumstances beyond your control include, but are not limited to:

- a. Unavoidable construction permit delays;
- b. The lack of necessary construction materials; or
- c. The unavailability of contractors to perform the necessary work.

We shall provide one or more additional extensions of six months for good cause.

(This is Paragraph **B.1.** in Form **HO 00 04** and Paragraph **C.1.** in Form **HO 00 06.**)

E. Additional Coverages

11. Ordinance Or Law

In Forms **HO 00 02, HO 00 03 and HO 00 05**, the following is added to Paragraph **a.**:

If a total loss has occurred and:

1. The dwelling or other structure is rebuilt at a new premises; or

2. You purchase an existing dwelling or other structure at a new premises;

we will pay the increased costs, subject to the limit in a. above, you would have incurred due to the enforcement of any ordinance or law had you repaired, rebuilt or replaced the dwelling or other structure at the original premises.

SECTION I - EXCLUSIONS

8. Intentional Loss

The following paragraph is added:

This exclusion does not apply, with respect to loss to covered property caused by fire, to an "insured" who does not commit or conspire to commit any act that results in loss by fire. We cover such "insured" only to the extent of that "insured's" legal interest, but not exceeding the applicable limit of liability.

We may apply reasonable standards of proof to claims for such loss.

(This is Exclusion **A.8.** in Forms **HO 00 03** and **HO 00 05.**)

SECTION I - CONDITIONS

D. Loss Settlement

Paragraph **2.a.** is replaced by the following:

In Forms **HO 00 02**, **HO 00 03** and **HO 00 05**, Paragraph **2.a.** is replaced by the following:

- a. If, at the time of loss, the amount of insurance in this Policy on the damaged building is 80% or more of the full replacement cost of the building immediately before the loss, we will pay the cost to repair or replace, without deduction for depreciation, but not more than the least of the following amounts:
 - (1) The limit of liability under this Policy that applies to the building;
 - (2) The replacement cost of that part of the building damaged with material of like kind and quality and for like use; or
 - (3) The necessary amount actually spent to repair or replace the damaged building.

If the building is rebuilt at a new premises, the cost described in **(2)** above is limited to the cost which would have been incurred, including any increased costs you would have incurred due to the enforcement of any ordinance or law, if the building had been built at the original premises.

Paragraph **2.e.** is replaced by the following:

In Forms **HO 00 02**, **HO 00 03** and **HO 00 05**, Paragraph **2.e.** is replaced by the following:

- e. We must be notified that you intend to repair or replace the damaged property within:

- (1) 36 months after our payment for actual cash value if the loss or damage relates to a state of emergency under California Law; or

- (2) 12 months after our payment for actual cash value in all other cases.

If you, acting in good faith and with reasonable diligence, encounter a delay or delays in approval for, or reconstruction of, the home or residence that are beyond your control, we shall provide one or more additional extensions of six months for good cause. Circumstances beyond your control include, but are not limited to:

- (1) Unavoidable construction permit delays;

- (2)

The lack of necessary construction materials; or

(3) The unavailability of contractors to perform the necessary work.

In Form **HO 00 08**, Paragraph **2.a.** is replaced by the following:

- a. If you repair or replace the loss to restore the building structure for the same occupancy and use at the same site within:

(1) 36 months of the date of the loss if the loss or damage relates to a state of emergency under California Law; or

(2) 12 months of the date of the loss in all other cases;

we will pay the lesser of the following amounts:

(3) The limit of liability that applies to the damaged or destroyed building structure; or

(4) The necessary amount actually spent to repair or replace the loss to the building structure but no more than the cost of using common construction materials and methods where functionally equivalent to and less costly than obsolete, antique or custom construction materials and methods.

If you, acting in good faith and with reasonable diligence, encounter a delay or delays in approval for, or reconstruction of, the home or residence that are beyond your control, we shall provide one or more additional extensions of six months for good cause. Circumstances beyond your control include, but are not limited to:

(1) Unavoidable construction permit delays;

(2) The lack of necessary construction materials; or

(3) The unavailability of contractors to perform the necessary work.

Paragraph **F. Appraisal** is replaced by the following:

F. Appraisal

If you and we fail to agree on the amount of loss, then either party may make a written request for an appraisal. However, both parties must agree to the appraisal. In this event, each party will select a competent and impartial appraiser. Each party shall notify the other of the appraiser selected within 20 days of the request. Where the request is accepted, the two appraisers will select a competent and impartial umpire. If they cannot agree upon an umpire within 15 days, you or we may request that the choice be made by a judge of a court of record in the state where the "residence premises" is located. The appraisers will appraise the loss, stating separately the loss to each item. If they fail to agree, they will submit their differences to the umpire. An award in writing, agreed to by any two, will set the amount of loss.

Each party will:

- 1.** Pay its own appraiser; and
- 2.** Bear the other expenses of the appraisal and umpire equally.

Paragraph **J. Loss Payment** is replaced by the following:

J. Loss Payment

We will adjust all losses with you. We will pay you unless some other person is named in the Policy or is legally entitled to receive payment. Loss will be payable 30 days after we receive your proof of loss and:

- 1.** Reach an agreement with you;

2. There is an entry of a final judgment; or
3. There is a filing of an appraisal award with us.

Paragraph **R. Concealment Or Fraud** is replaced by the following:

R. Concealment Or Fraud

1. With respect to loss caused by fire, we do not provide coverage to the "insured" who has:
 - a. Intentionally concealed or misrepresented any material fact or circumstance;
 - b. Engaged in fraudulent conduct; or
 - c. Made false statements;relating to this insurance.
2. With respect to loss caused by a peril other than fire, we provide coverage to no "insureds" under this Policy, if, whether before or after a loss, an "insured" has:
 - a. Intentionally concealed or misrepresented any material fact or circumstance;
 - b. Engaged in fraudulent conduct; or
 - c. Made false statements;relating to this insurance.

(This is Condition **Q.** in Form **HO 00 04.**)

SECTIONS I AND II - CONDITIONS

Paragraph **C. Cancellation** is replaced by the following:

C. Cancellation

1. You may cancel this Policy at any time by returning it to us or by letting us know in writing of the date cancellation is to take effect.
2. If a state of emergency under California Law is declared and the dwelling or other structure is located in any ZIP Code within or adjacent to the fire perimeter, as determined by California Law, we may not cancel this Policy for one year, beginning from the date the state of emergency is declared, solely because the dwelling or other structure is located in an area in which a wildfire has occurred. However, we may cancel:
 - a. When you have not paid the premium, at any time by letting you know at least 10 days before the date cancellation takes effect;
 - b. If willful or grossly negligent acts or omissions by the named insured, or his or her representatives, are discovered that materially increase any of the risks insured against.
 1. When this Policy has been in effect for less than 60 days and is not a renewal with us, we will notify you at least 20 days before the date cancellation takes effect.
 2. When this Policy has been in effect for more than 60 days, we will notify you at least 30 days before the date cancellation takes effect; or
 - c. If there are physical changes in the property insured against, beyond the catastrophe-damaged condition of the structures and surface landscape, which result in the property becoming uninsurable.
 1. When this Policy has been in effect for less than 60 days and is not a renewal with us, we will notify you at least 20 days before the date cancellation takes effect.
 2. When this Policy has been in effect for more than 60 days, we will notify you at least 30

days before the date cancellation takes effect.

3. In all other cases, we may cancel only for the reasons stated below by letting you know in writing of the date cancellation takes effect. This cancellation notice may be delivered to you, or mailed to you at your mailing address shown in the Declarations. Proof of mailing will be sufficient proof of notice.

- a. When you have not paid the premium, we may cancel at any time by letting you know at least 10 days before the date cancellation takes effect.
- b. When this Policy has been in effect for less than 60 days and is not a renewal with us, we may cancel for any reason, except as provided below, by letting you know at least 20 days before the date cancellation takes effect.

We may not cancel this Policy solely because:

1. You accepted an offer of earthquake coverage;
 2. Corrosive soil conditions exist on the "residence premises". This Provision **(2)** applies only if this Policy includes one or more of the following, which exclude loss caused by corrosive soil conditions:
 - a. Homeowners 3 – Special Form;
 - b. Homeowners 5 – Comprehensive Form;
 - c. Special Personal Property Coverage Endorsement;
 - d. Unit-owners Coverage **A** Endorsement; or
 - e. Unit-owners Coverage **C** Endorsement; or
 3. You cancelled or did not renew an earthquake policy issued by the California Earthquake Authority (CEA) that included an earthquake policy premium surcharge.
However, we may cancel this Policy if you have accepted a new or renewal policy issued by the CEA that included an earthquake policy premium surcharge, but you failed to pay the earthquake policy premium surcharge authorized by the CEA.
However, in the event of a total loss to the "residence premises", we will not cancel while any structure at that location is being rebuilt except for the reasons stated in Paragraphs **2.a.** and **2.c.** of this Condition **C. Cancellation.**
- c. When this Policy has been in effect for 60 days or more, or at any time if it is a renewal with us, we may only cancel if there has been:
1. Conviction of a crime having as one of its necessary elements an act increasing the hazard insured against; or
 2. Discovery of fraud or material misrepresentation by:
 - a. Any "insured" or his or her representative in obtaining this insurance; or
 - b. You or your representative in pursuing a claim under this Policy; or
 3. Discovery of grossly negligent acts or omissions substantially increasing any of the hazards insured against; or
 4. Physical changes in the property insured against which result in the property becoming uninsurable.
However, we may not cancel this Policy solely because:
 - a. Physical changes occur due to a total loss; or
 - b. Corrosive soil conditions exist on the "residence premises" if this Policy includes one or more of the following, which exclude loss caused by corrosive soil conditions:
 - i. Homeowners 3 – Special Form;

- ii. Homeowners 5 – Comprehensive Form;
- iii. Special Personal Property Coverage Endorsement;
- iv. Unit-owners Coverage **A** Endorsement; or
- v. Unit-owners Coverage **C** Endorsement; or

5. Acceptance of a new or renewal policy issued by the CEA that included an earthquake policy premium surcharge, but you failed to pay the earthquake policy premium surcharge authorized by the CEA.
This can be done by notifying you at least 30 days before the date cancellation takes effect.

d. When this Policy is written for a period longer than one year, we may cancel for any reason at anniversary by notifying you at least 45 days before the date cancellation takes effect.

4. When this Policy is cancelled, the premium for the period from the date of cancellation to the expiration date will be refunded pro rata. However, the return premium may be less than pro rata if we made a loan to you for the purpose of payment of premiums for this Policy.
5. If, when we cancel this Policy, the return premium is not refunded with the notice of cancellation, we will refund it within 25 business days after we send the cancellation notice to you. If, when you cancel this Policy, the return premium is not refunded when this Policy is returned to us, we will refund it within 25 business days of the date when we receive your notice of cancellation.

Paragraph **D. Nonrenewal** is replaced by the following:

D. Nonrenewal

1. We may elect not to renew this Policy, subject to the provisions of **2.** below. We may do so by delivering to you, at your mailing address shown in the Declarations, written notice at least 45 days before the expiration date of this Policy. Proof of mailing will be sufficient proof of notice.
2. We will not refuse to renew this Policy:
 - a. Solely because you accepted an offer of earthquake coverage.
 - b. However, the following applies only to insurers who are associate participating insurers as established by Cal. Ins. Code Section 10089.16. We may elect not to renew this Policy after you have accepted an offer of earthquake coverage if one or more of the following reasons apply:
 1. The nonrenewal is based on sound underwriting principles that relate to the coverages provided by this Policy and that are consistent with the approved rating plan and related documents filed with the Department of Insurance as required by existing law;
 2. The Commissioner of Insurance finds that the exposure to potential losses will threaten our solvency or place us in a hazardous condition. A hazardous condition includes, but is not limited to, a condition in which we make claims payments for losses resulting from an earthquake that occurred within the preceding two years and that required a reduction in policyholder surplus of at least 25% for payment of those claims; or

3. We have:

- a. Lost or experienced a substantial reduction in the availability or scope of reinsurance coverage; or
- b. Experienced a substantial increase in the premium charged for reinsurance coverage of our residential property insurance policies; and

the Commissioner has approved a plan for the nonrenewals that is fair and equitable, and that is responsive to the changes in our reinsurance position;

c. Solely because you cancelled or did not renew an earthquake policy, issued by the CEA, that included an earthquake policy premium surcharge;

d. Solely because corrosive soil conditions exist on the "residence premises". This Provision **c.** applies only if this Policy includes one or more of the following, which exclude loss caused by corrosive soil conditions:

- 1. Homeowners 3 – Special Form;
- 2. Homeowners 5 – Comprehensive Form;
- 3. Special Personal Property Coverage Endorsement;
- 4. Unit-owners Coverage **A** Endorsement; or
- 5. Unit-owners Coverage **C** Endorsement; or

e. Solely on the grounds that a claim is pending under the Policy unless such claim is made under coverage for loss caused by an earthquake.

3. If this Policy is written for a period of less than one year, we agree not to refuse to renew except at the end of an annual period commencing with the original or renewal effective date.

4. If a state of emergency under California Law is declared and the dwelling or other structure is located in any ZIP Code within or adjacent to the fire perimeter, as determined by California Law, we may not nonrenew this Policy for one year, beginning from the date the state of emergency is declared, solely because the dwelling or other structure is located in an area in which a wildfire has occurred.

However, we may nonrenew:

- a. If willful or grossly negligent acts or omissions by the named insured, or his or her representatives, are discovered that materially increase any of the risks insured against;
- b. If losses unrelated to the post-disaster loss condition of the property have occurred that would collectively render the risk ineligible for renewal; or
- c. If there are physical changes in the property insured against, beyond the catastrophe-damaged condition of the structures and surface landscape, which result in the property becoming uninsurable.

All other provisions of this Policy apply.

HO 01 04 07 19

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY

MINIMUM EARNED PREMIUM

If you decide to cancel this insurance before three months of cover have elapsed, **we** shall retain a minimum of 25% of the policy premium.

LLOYD'S PRIVACY POLICY STATEMENT

UNDERWRITERS AT LLOYD'S, LONDON

The Certain Underwriters at Lloyd's, London want you to know how we protect the confidentiality of your non-public personal information. We want you to know how and why we use and disclose the information that we have about you. The following describes our policies and practices for securing the privacy of our current and former customers.

INFORMATION WE COLLECT

The non-public personal information that we collect about you includes, but is not limited to:

- Information contained in applications or other forms that you submit to us, such as name, address, and social security number
- Information about your transactions with our affiliates or other third-parties, such as balances and payment history
- Information we receive from a consumer-reporting agency, such as credit-worthiness or credit history

INFORMATION WE DISCLOSE

We disclose the information that we have when it is necessary to provide our products and services. We may also disclose information when the law requires or permits us to do so.

CONFIDENTIALITY AND SECURITY

Only our employees and others who need the information to service your account have access to your personal information. We have measures in place to secure our paper files and computer systems.

RIGHT TO ACCESS OR CORRECT YOUR PERSONAL INFORMATION

You have a right to request access to or correction of your personal information that is in our possession.

CONTACTING US

If you have any questions about this privacy notice or would like to learn more about how we protect your privacy, please contact the agent or broker who handled this insurance. We can provide a more detailed statement of our privacy practices upon request.

PART C — AFFIDAVIT BY PRODUCING BROKER

1. PRODUCING BROKER INFORMATION

AFFIDAVIT NO. 538229

Name:

Example Name

License No.

Example License

Address

City

State

Zip Code

2. RISK INFORMATION

Name of the insured

Example Name

(The name of the insured must be precisely the same in this affidavit and the declarations page, binder, cover note or confirmation of coverage.)

3. DISCLOSURE INFORMATION

Yes

☐

No

☒

Did you personally provide a written Notice of Excess Line Placement (Form: NELP/2011) to the insured as required by Section 2118 of the New York Insurance Law and Regulation 41?

4. DECLINATION INFORMATION

(a)

Yes

☐

No

☒

Has the Superintendent determined that declinations are not required for this type of risk? IF ANSWER TO QUESTION (a) IS "YES", SKIP QUESTIONS (b) AND (c) GO ON TO THE AFFIRMATION SECTION.

(b)

Yes

☐

No

☒

Does the insured qualify as an "Exempt Commercial Purchaser" that made a written request consistent with the requirements of New York Insurance Law Section 2118(b)(3)(F)? IF ANSWER TO QUESTION (b) IS "YES", SKIP QUESTION (c) GO ON TO THE AFFIRMATION SECTION.

(c)

Yes

☐

No

☒

Was the risk described above submitted by the producing broker to companies: (1) each authorized in New York to write coverages of the kind requested; (2) which the licensee has reason to believe might consider writing the type of coverage or class of insurance involved; and, (3) was such risk declined by each such company? If the answer to QUESTION (c) above is "YES", COMPLETE THE FOLLOWING SCHEDULE:

AUTHORIZED COMPANIES DECLINING THE RISK

Declining Company #1

1. Name of Company

Date of Decline:

07/25/2024

NAIC Code

The insurer declined to underwrite the risk because:

1.

☐

Insurer presently lacks adequate capacity to write this risk.
2.

☐

Specific underwriting reason.
3.

☐

Other (Specify)

Affiliation of Representative:

☐

☐

☐

- Company Employee
- Agent
- Other

Name of Representative Declining Risk:

I believed this insurer would consider underwriting this risk because:

- ☐

Recent acceptance by the insurer of a risk, requiring that type of coverage or class of insurance.
- ☐

Advertising by the insurer or its agent indicating it entertains that type of risk/coverage.
- ☐

Media communications (Newspapers, Trade Magazines, Radio) which indicate the insurer will underwrite that type of coverage.
- ☐

Communications with other professionals, such as brokers, agents, risk managers, insurance department or ELANY personnel indicating the insurer entertains such risks.
- ☐

Any other valid basis you can document.

AUTHORIZED COMPANIES DECLINING THE RISK

Declining Company #2

2. Name of Company

Date of Decline:

07/25/2024

NAIC Code

The insurer declined to underwrite the risk because:

1.

☐

Insurer presently lacks adequate capacity to write this risk.
2.

☐

Specific underwriting reason.
3.

☐

Other (Specify)

Affiliation of Representative:

☐

Company Employee

☐

Agent

☐

Other

Name of Representative Declining Risk:

I believed this insurer would consider underwriting this risk because:

☐

Recent acceptance by the insurer of a risk, requiring that type of coverage or class of insurance.

☐

Advertising by the insurer or its agent indicating it entertains that type of risk/coverage.

☐

Media communications (Newspapers, Trade Magazines, Radio) which indicate the insurer will underwrite that type of coverage.

☐

Communications with other professionals, such as brokers, agents, risk managers, insurance department or ELANY personnel indicating the insurer entertains such risks.

☐

Any other valid basis you can document.

AUTHORIZED COMPANIES DECLINING THE RISK

Declining Company #3

3. Name of Company

Date of Decline:

07/25/2024

NAIC Code

The insurer declined to underwrite the risk because:

1. ☐ Insurer presently lacks adequate capacity to write this risk.
2. ☐ Specific underwriting reason.
3. ☐ Other (Specify)

Affiliation of Representative:

☐
☐
☐

Company Employee

Agent

Other

Name of Representative Declining Risk:

I believed this insurer would consider underwriting this risk because:

☐

Recent acceptance by the insurer of a risk, requiring that type of coverage or class of insurance.

☐

Advertising by the insurer or its agent indicating it entertains that type of risk/coverage.

☐

Media communications (Newspapers, Trade Magazines, Radio) which indicate the insurer will underwrite that type of coverage.

☐

Communications with other professionals, such as brokers, agents, risk managers, insurance department or ELANY personnel indicating the insurer entertains such risks.

☐

Any other valid basis you can document.

BROKER AFFIRMATION

I, am the licensee or sublicensee of the named broker in Section 1 of this affirmation and I hereby affirm under penalties of perjury that all of the information contained herein is true to the best of my knowledge and belief.

Signature of Affiant

Date

07/25/2024

NOTICE OF EXCESS LINE PLACEMENT

Date: 07/25/2024

Consistent with the requirements of the New York Insurance Law and Regulation 41 Example Customer is hereby advised that all or a portion of the required coverages have been placed by Patriotic Insurance Group Brokerage Inc with insurers not authorized to do an insurance business in New York and which are not subject to supervision by this State. Placements with unauthorized insurers can only be made under one of the following circumstances:

- a. A diligent effort was first made to place the required insurance with companies authorized in New York to write coverages of the kind requested; or
- b. NO diligent effort was required because i) the coverage qualifies as an "Export List" risk, or ii) the insured qualifies as an "Exempt Commercial Purchaser."

Policies issued by such unauthorized insurers may not be subject to all of the regulations of the Superintendent of Financial Services pertaining to policy forms. In the event of insolvency of the unauthorized insurers, losses will not be covered by any New York State security fund.

TOTAL COST FORM (TAX ALLOCATED PREMIUM TRANSACTION)

[Applies only to policies with effective dates of on or before July 20, 2011 with risks located both inside and outside New York.]

In consideration of your placing my insurance as described in the policy referenced below, I agree to pay the total cost below which includes all premiums, inspection charges⁽¹⁾ and a service fee that includes taxes, stamping fees, and (if indicated) a fee⁽¹⁾ for compensation in addition to commissions received, and other expenses⁽¹⁾.

I further understand and agree that all fees, inspection charges and other expenses denoted by⁽¹⁾ are fully earned from the inception date of the policy and are non-refundable regardless of whether said policy is cancelled. Any policy changes which generate additional premium are subject to additional tax and stamping fee charges. The excess line tax and stamping fees denoted by⁽²⁾ below are only charged against the portion of premium and other taxable charges, where applicable, (Insurer policy or inspection fees) for the portion of the insured risk located in New York.

Re: Policy No. 24SSJ231PF3452

Insurer Sterling Surplus Underwriters

Policy Premium⁽²⁾	\$402.00
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Insurer Imposed Charges:

Policy Fees⁽¹⁾⁽²⁾	\$0.00
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Inspection Fees⁽¹⁾⁽²⁾	\$0.00
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Services Fee Charges:

Excess Line Tax (3.6%)⁽²⁾	\$14.47
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Stamping Fee⁽²⁾	\$0.60
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Service Charge⁽²⁾	\$0.00
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Municipal Fee⁽²⁾	\$0.00
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Stamping Fee⁽²⁾	\$0.60
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Broker Fee⁽¹⁾	\$35.00
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Inspection Fee⁽¹⁾	\$0.00
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Other Expenses⁽¹⁾	\$0.00
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Total Policy Cost:	\$452.07
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(1) = Fully earned

(2) = Taxes and stamping fees are calculated on the portion of the risk
located in N.Y. only

Signature of Insured

NYSID Form: NELP/2011



Notification of Complaint:

Email: info@sterlingsu.com

Phone: 855.227.2202

Policyholder Declaration

I would like the Sterling Complaints team to consider my complaint. I understand that:

- You will need to handle personal details about me, which could include sensitive information (for example, about health matters) in order to deal with my complaint effectively;
- You may need to exchange information about my complaint with other organisations (for example, to find out important facts relating to my case);

I, (name of policyholder) _____

authorize (name of representative) _____

to submit and pursue this complaint on my behalf.

Policyholder Details

Address:

Email:

Telephone:

Preferred Method of Contact (circle)

Letter / Email / Telephone

Representative Details

Address:

Email:

Telephone:

Preferred Method of Contact (circle)

Letter / Email / Telephone

Policyholder Signature

Date: / /